

OTS-05- Trade Evaluation

Overview:

We start this session by discussing some nuances of the expiration trading process. Then, we move on to discuss the concept of early exercise and what factors one should consider therein. Finally, we cover some important concepts for risk management and trade evaluation.

Key Takeaways:

- Expiration trading.
- Early exercise.
- Trade planning and evaluation.
- Risk measures.
- An example that summarizes the volatility trading process.

Pre-requisites:

- Options Primer completion is mandatory
- OTS -01 (i.e., General Trading Theory)
- OTS -02 (i.e., Volatility Trading and Variance Premium)
- OTS -03 (i.e., Options Pricing Models and Greeks)
- OTS -04 (i.e., Volatility Measurement, Forecasting, and Structuring Volatility Trades)

Downloadable Files:

- OTS-05 Inclass Exercises File

In this lecture you will:

- Gain an in-depth understanding of expiration trading.
- Learn about the different factors that go into structuring and evaluating a trade with the help of an example.

Recommended time for the session & related coursework – 8.5 hours